Riverside Phase 3 — Investment Memorandum (Confidential)

Contoso Group — Confidential — 15 March 2026

Riverside Phase 3 — Investment Memorandum

Project: Riverside Phase 3 mixed-use development (residential + retail + office). 38 acres. Located within the Riverside master-planned township, 14 km from downtown.

Sponsor: Contoso Land (a wholly-owned subsidiary of Contoso Group, NYSE: CTGO).

Capital required: USD 285M total (USD 105M sponsor equity, USD 180M senior debt + co-invest).

1. Executive Summary

Riverside Phase 3 is the third tranche of an integrated 220-acre township that has delivered Phases 1 and 2 ahead of plan, with Phase 1 sales closed at +18% over budget and Phase 2 currently 78% pre-sold. Phase 3 introduces a denser mixed-use programme — 1,840 residential units across mid-rise and high-rise, 220k sq ft of retail, 80k sq ft of office, plus civic and parkland.

Total development cost USD 268M; gross development value USD 412M; project IRR (un-levered) 18.4%; equity IRR 24.1%.

2. Deal Highlights

• Strong proven demand: Phase 2 launched with 41% same-day take-up, well above the township master-plan assumption of 35%.

• Land cost de-risked: site is held within Contoso Land's existing township; no further land acquisition required.

• Mixed-use diversification reduces residential-cycle exposure; recurring retail income covers ~14% of total project revenue.

• Civic infrastructure (community centre, two schools, transport interchange) co-funded by city.

• ESG: targeting LEED Gold for office tower; 100% of common-area lighting LED; water-recycling target 35%.

3. Use of Funds

Use	USD M	%
Land transfer (intra-group)	42.0	15.7%
Construction — residential	138.5	51.7%
Construction — retail & office	52.4	19.6%
Infrastructure & civic	18.0	6.7%
Marketing, design, contingency	16.5	6.2%
TOTAL	267.4	100.0%

4. Returns Summary

Metric	Base	Downside (-10% price)	Upside (+10% price)
Project IRR (un-levered)	18.4%	12.6%	23.7%
Equity IRR (levered, 65% LTC)	24.1%	14.9%	33.0%
NPV @ 12% (USD M)	62.4	21.8	104.1
Payback (years)	5.4	6.8	4.5
Money multiple (equity)	2.4x	1.6x	3.1x

5. Schedule

- Q2 FY26 — Capital partner selection
- Q3 FY26 — Permits closed; site mobilisation
- Q4 FY26 — Phase 3A residential launch (Towers 1-3)
- Q3 FY27 — Phase 3B retail and office launch
- Q4 FY29 — Final handover; Phase 3 complete

6. Risks & Mitigants

Risk	Likelihood	Impact	Mitigant
Interest-rate uplift (>+150bps)	Med	Med	65% pre-sales target before construction draw-down
Construction cost inflation	Med	Med	Fixed-price contract for shell & core; contingency 6.2%
Slower retail leasing	Med	Low	Anchor MOU with two grocers and one cinema operator
Permitting clarification (city)	Low	Low	One open item — minor; resolution targeted 7 Apr 2026